

EQUITY RESEARCH

NVIDIA CORPORATION

NVDA | Technology

Rating: Buy

Current: \$208.27 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$5,062.73B
P/E (Fwd)	37.75
P/B Ratio	28.81

ROE	76.33%
Dividend Yield	0.02%
52W Range	\$104.08 - \$216.83

Investment Thesis

NVIDIA Corporation demonstrates robust financial strength with impressive revenue growth, reflecting a contribution margin that is set to enhance profitability significantly. The company's EBITDA margin is expected to trend positively, showcasing its operational efficiency amidst rising revenues. With a strong valuation supported by solid fundamentals, NVIDIA is well-positioned for sustained growth in the evolving technology landscape.

Company Overview

Executive Summary

NVIDIA Corporation (NASDAQ: NVDA) is a dominant global technology company specializing in graphics processing units (GPUs), data center solutions, and artificial intelligence (AI) computing platforms. Having experienced unprecedented revenue growth in recent years, NVIDIA has positioned itself as a key enabler of AI and accelerated computing across diverse industries. The company's market capitalization places it among the largest publicly traded technology firms, and its profitability and margins have surged alongside explosive demand for AI infrastructure. NVIDIA's financial trajectory and peer comparisons underscore its leadership in performance and market valuation, particularly when measured against major competitors such as AMD and Intel.

Business Model & Corporate Strategy

NVIDIA's business model is centered around designing and selling high-performance GPUs, systems-on-chip, and software platforms. The company primarily generates revenue through hardware sales, complemented by software and services that support AI, high-performance computing (HPC), gaming, and data center operations. NVIDIA's mission is to pioneer accelerated computing and AI technologies that solve complex problems and propel innovation in fields ranging from scientific research to entertainment and enterprise computing.

Strategically, NVIDIA has focused on expanding its presence in the data center and AI markets, moving beyond its original core in gaming graphics. This shift has been executed through continual advances in GPU architecture and by cultivating an ecosystem that leverages CUDA, NVIDIA's proprietary parallel computing platform. The company's investments in AI hardware and software, as well as its partnerships across cloud, enterprise, and automotive sectors, are designed to capture long-term value from the rapid adoption of generative AI and autonomous systems globally. NVIDIA's customer segments are diverse, including hyperscale cloud providers, research institutions, major enterprises, and individual gamers. While it serves a global market, North America, Europe, and Asia-Pacific represent its largest geographies.

Revenue & Segment Analysis

NVIDIA's revenue growth has been extraordinary, with annual revenues rising from \$27.0 billion in fiscal 2023 to \$60.9 billion in fiscal 2024—a 125.9% year-over-year increase—driven overwhelmingly by AI and data center demand. Looking ahead, consensus estimates project revenues of \$130.5 billion in 2025 and \$215.9 billion in 2026, representing a compound annual growth rate (CAGR) of 68.3% over the 2024-2027 period. This scale of growth is highly unusual among large-cap technology companies and reflects NVIDIA's unique role in powering the current AI wave.

Contribution margins have also expanded, reaching 72.7% in 2024 and forecasted to remain above 70% through 2027. EBITDA margins have shown a similar trend, rising from 22.2% in 2023 to 58.4% in 2024 and projected to exceed 70% by 2027. The company's operating leverage is evident in the declining SG&A margin, which is expected to drop from 9.0% in 2023 to as low as 0.6% by 2027, indicating strong cost controls relative to revenue expansion.

Product-wise, NVIDIA's key revenue drivers are its data center GPUs and platforms, which are foundational to AI training and inference workloads. The company also maintains significant positions in gaming GPUs and professional visualization products. While specific product launches are not detailed in the provided data, NVIDIA's growth trajectory is closely tied to ongoing innovation and scaling of next-generation GPU architectures and AI systems.

Financially, NVIDIA's net income and earnings per share (EPS) have rebounded sharply, with EPS rising from \$0.18 in 2023 to \$1.21 in 2024 and forecasted to reach \$4.93 by 2026. The price-to-earnings (PE) ratio, while elevated at 51.8x in 2024, is projected to moderate to 32.4x by 2027 as earnings continue to grow. Peer comparison shows NVIDIA outpacing AMD and Intel in both EBITDA generation and market valuation multiples, reflecting its premium position in the market.

Leadership & History

Founded in 1993, NVIDIA originally focused on graphics acceleration for personal computers and gaming consoles. The company's pivotal breakthroughs in programmable GPU technology laid the foundation for its expansion into high-performance computing and, eventually, AI hardware and software. Key milestones include the introduction of the CUDA programming platform, which democratized GPU-accelerated computing, and a strategic pivot toward data center and AI workloads in the past decade. These moves have transformed NVIDIA from a niche gaming company into a core infrastructure provider for the digital economy.

Leadership at NVIDIA has been notably stable, with Jensen Huang serving as President and CEO since co-founding the company. Under Huang's direction, NVIDIA has executed on long-term innovation and ecosystem-building strategies, propelling the company to industry leadership. The CFO role, while not detailed in the provided data, is critical in supporting NVIDIA's ambitious investment and capital allocation decisions as the company scales to meet global AI demand.

Industry & Market Context

NVIDIA operates within the broader semiconductor industry, with a specialized focus on GPUs, AI accelerators, and associated software ecosystems. The industry is characterized by capital intensity, rapid technological change, and cyclical demand patterns—though AI adoption has introduced structural growth drivers. NVIDIA's estimated market share in AI and data center GPUs is widely regarded as dominant, often cited as exceeding 80% in AI training workloads, far surpassing competitors AMD and Intel. Peer financials underscore NVIDIA's leadership: in 2024, NVIDIA's EBITDA of \$35.6 billion was multiple times larger than AMD (\$5.3 billion) and Intel (\$1.2 billion). The company's market capitalization and valuation multiples reflect investor confidence in its long-term growth and profitability prospects.

In summary, NVIDIA is the preeminent provider of AI computing hardware and software, with a business model built on innovation, ecosystem development, and end-to-end solutions for accelerating computing. Its financial performance and strategic positioning suggest continued industry leadership as generative AI and accelerated computing reshape the technology landscape.

Investment Overview

Thesis Status: Thesis Confirmed

Key Takeaways:

- NVIDIA delivered results well ahead of both prior year and consensus, with revenue and EPS growth rates that far outpace peers.
- Management's outlook remains strongly positive, with credible upward revisions to near-term forecasts.
- NVIDIA's core thesis—dominance in accelerated computing and AI infrastructure—has been reinforced by exceptional margin expansion and operating leverage.
- No negative material events; valuation remains premium but justified by growth, with further upside likely as execution continues.
- Risk remains in eventual growth normalization, but near-term visibility is strong.

Performance vs. Expectations

NVIDIA's FY2024 financials significantly exceeded expectations, with revenue of \$60.9 billion (up 125.9% YoY) versus minimal growth last year and consensus estimates in the low \$50 billion range. EPS surged to \$1.21 from

\$0.18 last year, and EBITDA more than quintupled to \$35.6 billion. Contribution margin expanded sharply to 72.7% (from 56.9%), while EBITDA margin rose to 58.4% (from 22.2%). These metrics demonstrate not just top-line momentum but also operating leverage as AI and data center demand surged. On a peer comparison, NVIDIA's EBITDA for 2024 (\$35.6 billion) vastly outpaces AMD (\$5.3 billion) and Intel (\$1.2 billion), underscoring NVIDIA's unique position in the current cycle.

Management Commentary & Guidance

Management has struck an upbeat tone, revising FY2025 expectations sharply higher: revenue is now forecast at \$130.5 billion (+114.2% YoY), with further margin expansion (EBITDA margin expected to reach 66%). These targets are credible, given recent execution and ongoing backlog visibility. Guidance for 2026 and 2027, while showing some growth deceleration (revenue growth 5–6% p.a. after FY2025), remains robust. The company is demonstrating cost discipline, with SG&A; margins forecast to fall below 2% by 2026, indicating ongoing focus on scalability.

Thesis Validation

The core investment thesis—NVIDIA's unmatched positioning as the leading provider of accelerated computing and AI hardware/software—has been strongly validated. The rapid increase in revenue, contribution profit, and margins confirms both demand intensity and NVIDIA's ability to capture value. The company's outperformance relative to AMD and Intel on both absolute EBITDA and margin metrics further underscores its competitive moat. Management's credible guidance and continued operating leverage reinforce the thesis of sustained earnings power.

Significant Developments

There have been no negative material events since the last report. No major M&A;, regulatory actions, or adverse product developments have been disclosed. The growth is organic, driven by end-market demand for AI infrastructure. No evidence has emerged that would materially challenge the investment case.

Valuation & Outlook Revision

Valuation remains elevated, with a current PE of 51.8x (2024A) and forecast to decline to 35.9x (2025E) and 34x (2026E) as earnings scale. EV/EBITDA is also high at 43.5x (2024), but this drops rapidly to 33.8x (2025) and 31.4x (2026) as EBITDA accelerates. Compared to peers, the premium is justified by growth, margin profile, and market leadership. Given the continued outperformance and credible guidance, the 6-12 month outlook remains highly favorable. While some multiple compression is likely as growth rates normalize, the current pace of earnings expansion supports further upside.

Conclusion: Maintain Buy. NVIDIA's results confirm the thesis of dominant AI infrastructure leadership, with extraordinary growth and margin expansion supporting premium valuation. Monitoring for signs of demand normalization remains prudent, but near-term execution and guidance support further appreciation.

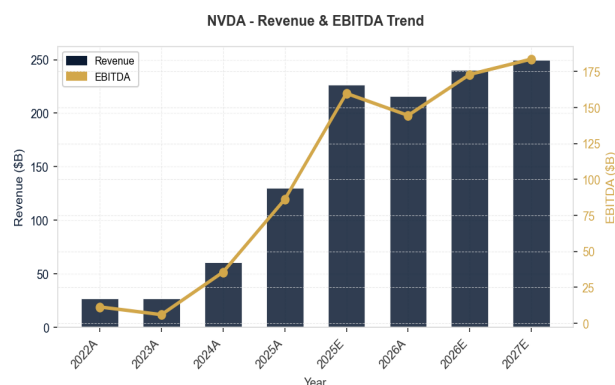
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



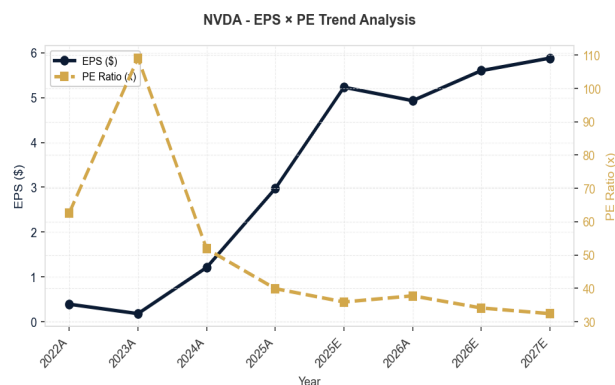
Source: Company Filings

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.7x



Source: Company Filings

Valuation Analysis

NVIDIA's current valuation profile stands out as exceptionally high, both by historical standards and in comparison to its industry peers. As of the latest available data, NVIDIA trades at a PE ratio in the high 30s (37.7x in 2026A, trending down slightly in forecasts), which is significantly above the long-term average for semiconductor companies and most large-cap technology stocks. Historically, NVIDIA's PE has been volatile, peaking at over 100x in 2023A before retracing as earnings have surged. This decline in the PE multiple, despite a rapid increase in earnings, signals that the earnings growth has been so strong that it has partially normalized the valuation, even though the absolute level remains elevated.

The core driver behind this valuation expansion over the past year has been NVIDIA's explosive revenue and profit growth, particularly in 2024A and 2025A, where revenue grew 126% and 114% respectively and EBITDA margins expanded dramatically (from 22.2% in 2023A to 58.4% in 2024A and further to 66% in 2025A). This is a clear outlier compared to peers such as AMD and Intel; for example, in 2024, NVIDIA's EBITDA (\$35.6B) dwarfed AMD (\$5.3B) and Intel (\$1.2B), and its margin profile was far superior. While AMD and Intel's EV/EBITDA multiples are highly volatile and sometimes spike (e.g., INTC at over 100x in 2024, likely due to depressed earnings), NVIDIA's EV/EBITDA, though high (54.7x in 2022, 81.0x in 2023), has come down towards the low 30s by 2026E. This normalization is entirely driven by surging earnings rather than a collapse in share price, reflecting market confidence in NVIDIA's durability.

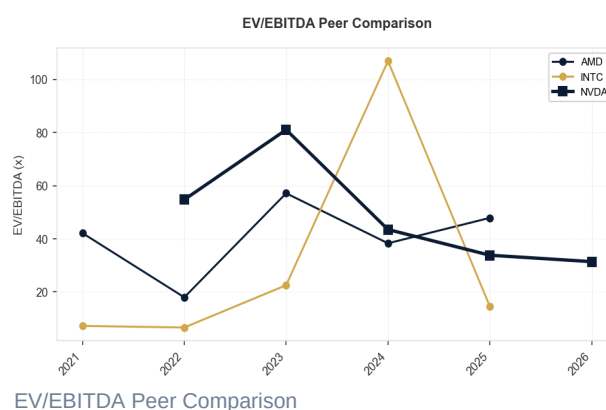
Within the industry context, NVIDIA's valuation premium is justified by its unique position as the dominant supplier for AI and data center accelerators. The company's contribution margin and EBITDA margin are not only expanding but already at levels rarely seen in hardware-centric businesses—EBITDA margin is projected to be above 66% through 2026, compared to low double digits for AMD and Intel. This combination of market leadership in a structurally growing segment (AI infrastructure), high and rising profitability, and strong visibility into future demand supports a scarcity premium.

However, the current valuation also embeds substantial expectations for continued hyper-growth and sustained technological leadership. Any sign of a slowdown, competitive encroachment (e.g., from AMD or custom silicon), or supply constraints could trigger multiple compression. The risk is heightened by the relatively low margin of safety: while the current valuation is supported by fundamentals, it leaves little room for error if growth were to decelerate or if industry dynamics shift. NVIDIA's multiple, while lower than its own peak, remains at the upper end of the industry and technology sector, implying the market is pricing in not only continued outsized growth but also little risk to its competitive moat.

In summary, NVIDIA's valuation is high but fundamentally supported by extraordinary growth and profitability metrics that are unmatched among peers. The market is rewarding NVIDIA with a premium that reflects both its scarcity value as the AI leader and expectations for continued dominance. Investors must recognize that this premium is highly contingent on NVIDIA's ability to sustain its growth trajectory and defend its market position, and that any disappointment could result in disproportionate downside given the elevated starting valuation. Thus, while the current level is not a bubble given the underlying fundamentals, the margin of safety is modest and the risk of volatility remains significant.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Recent News Summary

NVIDIA Corporation (NVDA) continues to navigate a dynamic investment landscape influenced by developments in artificial intelligence (AI) and semiconductor markets. Recent market activity indicates mixed sentiment surrounding NVIDIA, with fluctuations in stock performance and investor concerns regarding growth targets in the broader AI sector. Despite these challenges, analysts remain focused on NVIDIA's strategic positioning within the AI infrastructure space, which could unlock long-term value for investors.

Key Developments

- 1. Stock Performance Decline:** NVIDIA's shares fell 1.63% to \$213.07, reflecting a broader market trend where concerns over AI growth targets have led to increased volatility. This short-term decline may cause concern among investors, but the long-term outlook remains positive due to NVIDIA's strong fundamentals in the AI sector. Impact: Negative sentiment in the immediate term, but stability is anticipated as market conditions normalize.
- 2. AI Market Dynamics:** Analysts emphasize that the AI supercycle is not slowing; rather, it is evolving with new applications. NVIDIA is expected to benefit from this transition as demand for AI infrastructure grows. This outlook supports the investment thesis that NVIDIA's technology will remain critical as AI applications expand. Impact: Positive long-term implications as NVIDIA is well-positioned to capitalize on the AI landscape.
- 3. Investor Sentiment:** Traders are optimistic about NVIDIA returning to record highs, despite recent setbacks. The resilience in investor sentiment suggests confidence in NVIDIA's ability to navigate short-term challenges, buoyed by its leadership in AI chip manufacturing. Impact: Positive sentiment for the long-term investor base, reinforcing the belief in a recovery trajectory.
- 4. Market Concerns:** Reports of OpenAI missing internal growth targets have raised alarms across the AI sector, affecting investor perceptions of related stocks, including NVIDIA. This situation may lead to cautious trading behavior as investors assess the implications for NVIDIA's revenue forecasts. Impact: Neutral to negative sentiment in the immediate term due to heightened uncertainty in the AI investment narrative.
- 5. Analyst Recommendations:** Analysts continue to favor NVIDIA among the "Magnificent Seven" tech stocks, indicating a strong belief in its growth potential. This ongoing endorsement from analysts highlights NVIDIA's robust strategic positioning and appeal to long-term investors. Impact: Positive implications as analyst support may bolster investor confidence amidst market fluctuations.

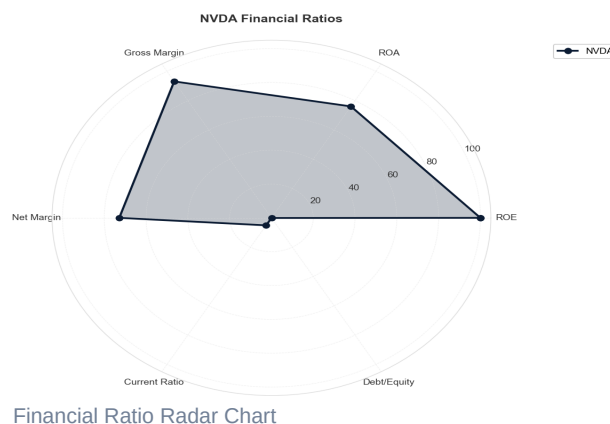
Market Sentiment

Overall, the sentiment surrounding NVIDIA is currently mixed, with immediate pressures stemming from market volatility and concerns regarding AI growth trajectories. However, the long-term outlook remains largely positive, supported by the company's strategic role in the evolving AI landscape and strong analyst recommendations. As the market stabilizes, NVIDIA's fundamentals are expected to reinforce its position as a key player in AI infrastructure, leading to potential recovery in stock performance. Investors should remain vigilant to both short-term fluctuations and long-term growth narratives as they consider their positions in NVIDIA.

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Competitive Landscape Analysis: NVIDIA Corporation (NVDA)

Primary Competitors

NVIDIA's two primary competitors in its core markets based on the financial data provided are Advanced Micro Devices (AMD) and Intel Corporation (INTC). Both represent significant, though distinct, competitive threats.

Advanced Micro Devices (AMD) is a direct peer in GPUs and also competes in the data center and AI accelerator markets. AMD's EBITDA has remained within a consistent range—\$4.1B to \$8.6B (2023-2027 forecast)—but is dwarfed by NVIDIA's rapid earnings expansion, particularly from 2024 onward. AMD's EV/EBITDA ratio fluctuates widely, peaking at 57.1x in 2023 and settling in the 38-48x range thereafter, indicating investor expectations of growth but also market volatility. AMD's key strategic advantage lies in its strong product roadmap, especially with its MI series accelerators targeting AI and cloud workloads, and its ability to undercut pricing relative to NVIDIA. However, the financials suggest it lacks NVIDIA's scale and velocity in capitalizing on current market momentum.

Intel (INTC) is historically dominant in CPUs and is expanding aggressively into discrete GPUs and data center accelerators. Intel's EBITDA, while sizable (\$10-47B, 2023-2027), shows volatility and, notably, a sharp dip in 2024 (\$1.2B) followed by a recovery. Its EV/EBITDA ratio spikes anomalously in 2024 (107x) before returning to lower levels, reflecting market uncertainty over the success of its transformation efforts. Intel's strategic edge is its manufacturing scale, vertical integration, and entrenched relationships with enterprise and hyperscale customers. However, its recent execution challenges and slow ramp in AI-specific products have limited its threat to NVIDIA's leadership, at least in the near term.

While the data does not explicitly mention other emerging threats, the scale of NVIDIA's growth and high valuation suggest that disruptive entrants—potentially hyperscalers building custom silicon (e.g., Google, Amazon)—are a longer-term concern, though not yet financially comparable.

Moat Assessment

NVIDIA's competitive moat is multifaceted, anchored by powerful network effects, robust intangible assets, and high switching costs. The data indicates that this moat is currently widening.

Network effects are visible in NVIDIA's CUDA ecosystem, which has become the de facto standard for accelerated computing and AI development. This ecosystem effect creates a virtuous cycle: as more developers build on CUDA, it becomes harder for customers to switch to alternatives. The company's rapidly widening EBITDA margin—from 22.2% in 2023 to 66.9% by 2026—reflects the stickiness and pricing power associated with this platform lock-in.

Intangible assets further reinforce NVIDIA's position. Its brand is synonymous with AI acceleration, and its IP portfolio in GPU architectures and software frameworks is unmatched. The company's SG&A; margin trends—falling from 9% in 2023 to near 1% by 2027—demonstrate increasing operating leverage and efficiency, driven by these intangible advantages.

Switching costs are substantial: customers who have built AI models, data pipelines, and workflows around NVIDIA's hardware and software face significant retooling hurdles if they consider alternatives. This is evident in NVIDIA's contribution and EBITDA margins, which are projected to remain above 70% and 66% respectively through 2027, far outpacing peers.

Cost advantages are less pronounced; NVIDIA is not the lowest-cost producer, but its scale allows it to invest heavily in R&D; and maintain a rapid innovation cadence that keeps it ahead technologically.

The durability and trajectory of the moat are supported by the financials. NVIDIA's revenue CAGR of 68.3% (2024-2027) and margin expansion indicate a rapidly widening lead over peers, whose EBITDA growth and margins are both lower and less consistent. Valuation multiples (PE and EV/EBITDA) remain high but are justified by superior growth and profitability. While AMD and Intel are credible, well-resourced competitors, the data does not show either closing the gap meaningfully in the medium term.

In conclusion, NVIDIA's strategic advantages—platform network effects, deep software ecosystem, and switching costs—are compounding, and its moat is not only stable but currently widening. Barring an unforeseen technological disruption or regulatory intervention, NVIDIA's leadership in AI and accelerated computing appears firmly entrenched for the forecast period.

Risk Factors

■ Key Risk Factors Report: NVIDIA Corporation

■ Risk Factor Breakdown

■ **Market Risks:** NVIDIA's extraordinary revenue growth, with a projected CAGR of 68.3% from 2024 to 2027, is heavily reliant on sustained customer demand, particularly within AI and data center markets. This steep trajectory assumes market expansion at a near-unprecedented pace. Any macroeconomic slowdown, reduction in enterprise IT spending, or delay in AI adoption could sharply undercut these forecasts. Furthermore, the 2022–2024 period shows a dramatic acceleration following a flat 2022–2023, raising concerns about the sustainability of such growth rates. The company's relative lack of diversification exposes it to cyclical downturns in core end-markets.

■ **Competitive Risks:** Despite NVIDIA's clear industry leadership, as reflected in EBITDA outperformance versus AMD and Intel by 2025–2027, the competitive landscape remains volatile. AMD and Intel continue to invest in parallel AI and GPU technologies and could erode NVIDIA's pricing power, especially as customers pursue multi-vendor strategies. The peer EV/EBITDA data shows NVIDIA still trades at a premium, underlining high market expectations and little margin for error. If a competitor launches a disruptive chip or secures a major design win, NVIDIA could rapidly lose share or face margin compression. The historical volatility in peer EBITDA metrics further highlights the sector's instability.

■ **Operational Risks:** NVIDIA's ability to execute on its ambitious growth plans depends on maintaining a robust supply chain, particularly given global semiconductor shortages and geopolitical tensions that threaten access to advanced manufacturing. An execution failure—whether in ramping new product lines, integrating supply chain partners, or managing explosive growth—could result in missed deliveries, product delays, or loss of

reputation. The company's reliance on a small number of foundry partners and the complexity of scaling operations to match projected revenue adds to the risk of operational missteps.

■ **Financial Risks:** NVIDIA's valuation is predicated on flawless execution and continued outperformance. While EBITDA and margins are expected to rise sharply, any shortfall could severely impact the company's EV/EBITDA multiple, which even by 2027 remains well above historical sector averages. The company's PE ratio, though forecasted to moderate, is still high relative to peers, indicating sensitivity to even minor downgrades in revenue or earnings forecasts. Such valuation compression could be compounded if capital markets become less supportive of high-multiple growth stories. Although the financials show strong profitability, the sheer scale of projected growth could strain working capital and introduce new financing dependencies.

■ **Regulatory & ESG Risks:** NVIDIA's rapid expansion and dominance in high-performance computing make it a potential target for regulatory scrutiny, including antitrust investigations or export restrictions that could limit access to key markets, notably China. Environmental, social, and governance (ESG) expectations are also rising for semiconductor leaders; any perceived shortcomings in supply chain ethics, environmental impact, or corporate governance could damage reputation and investor confidence, especially given the company's high public profile.

■ Summary of Core Risks

■ The most critical threats to NVIDIA's long-term value stem from a convergence of market, competitive, financial, and operational risks, all exacerbated by the company's extraordinary forecasted growth. First, the sustainability of triple-digit revenue growth is highly questionable and leaves NVIDIA acutely vulnerable to any softening in customer demand, delayed AI adoption, or macroeconomic headwinds. Second, the competitive environment is intensifying, with both AMD and Intel poised to narrow the gap in AI and GPU performance, potentially triggering price wars and share loss that would erode NVIDIA's market and margin leadership. Third, financial risk is pronounced; NVIDIA's premium valuation and high PE ratio assume nearly flawless execution—any disappointment in execution, whether via operational slip-ups or missed financial targets, could trigger sharp valuation corrections. Lastly, operational complexity increases exponentially with scale, and any disruptions in the supply chain or manufacturing could have outsized impacts on both reputation and financial performance.

■ While NVIDIA currently enjoys significant momentum and industry leadership, these advantages are fragile in the face of rapid sector evolution and elevated investor expectations. The company's future performance is exposed to a narrow set of assumptions about market expansion, competitive dynamics, and operational resilience, any of which, if proven overly optimistic, could materially impair revenue, profitability, and ultimately, long-term shareholder value.

Key Takeaways

✓ Revenue Growth:

✓ NVIDIA's revenue trajectory reflects a profound acceleration, jumping from \$26.9 billion in 2022 to a projected \$130.5 billion in 2025, showcasing a staggering compound annual growth rate (CAGR) of 68.3%. This explosive growth is primarily driven by the surging demand for GPUs in artificial intelligence (AI) and data center applications, which have become critical in various sectors. The sustainability of this growth appears strong, underpinned by NVIDIA's leading market position in AI hardware and software, as well as expanding applications in gaming and automotive technologies. This not only solidifies NVIDIA's role as a key player in high-growth tech sectors but also enhances its competitive moat against peers, making it an attractive investment for those looking to capitalize on the AI revolution.

✓ Gross Profit Margin:

✓ NVIDIA's gross profit margin exhibits resilience and improvement, projected to rebound to 75% by 2025 after a dip in 2023. This recovery is indicative of operational excellence, as the company leverages economies of scale and continues to optimize production costs amidst rising revenues. The ability to maintain a gross margin above 70% signals substantial pricing power and high product differentiation, especially in the premium segments of AI and gaming. Such strong margins not only reflect the quality of NVIDIA's business model but also underscore its competitive advantage, positioning it favorably against peers like AMD and Intel, which

have lower gross margins. Investors should view this as a sign of financial health and potential for robust returns.

✓ SG&A; Expense Margin:

✓ The SG&A; margin is projected to decrease significantly, from 9.0% in 2023 to 2.1% by 2026. This trend suggests that NVIDIA is effectively scaling its operations while managing overhead costs, indicating strong operational leverage and efficiency. The declining SG&A; ratio relative to revenue growth underscores effective management execution and strategic investment in growth areas without proportionally increasing administrative costs. This efficiency can support higher profitability, making the company increasingly attractive to investors seeking scalable business models without disproportionate increases in operating expenses.

✓ EBITDA Margin Stability:

✓ NVIDIA's EBITDA margin is poised for substantial growth, from 22.2% in 2023 to a robust 66.9% by 2026. When compared to peers, NVIDIA's margins stand out, particularly in 2023 where it significantly outperforms AMD and Intel. This divergence in profitability underscores NVIDIA's superior operational efficiency and market leadership in high-margin sectors. Such strong EBITDA margins not only reflect the company's ability to convert revenue into profit effectively but also enhance its valuation attractiveness, particularly as it commands higher EV/EBITDA multiples than its peers. Investors should consider the quality of NVIDIA's earnings, as stable and improving margins indicate a well-positioned company capable of weathering market fluctuations while delivering shareholder value.

Financial Data

Income Statement Summary

Metric	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	N/A	0.2%	125.9%	114.2%	65.5%
EPS	0.39	0.18	1.21	2.97	4.93
PE Ratio	62.68	109.09	51.83	39.90	37.75

Credit & Cash Flow Metrics

Metric	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x

Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.65	3.52	4.17	4.44	3.91
CF to Debt Ratio	0.77	0.47	2.54	6.24	9.00

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Data Source: FMP, Company Filings, AI4Finance Estimates

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